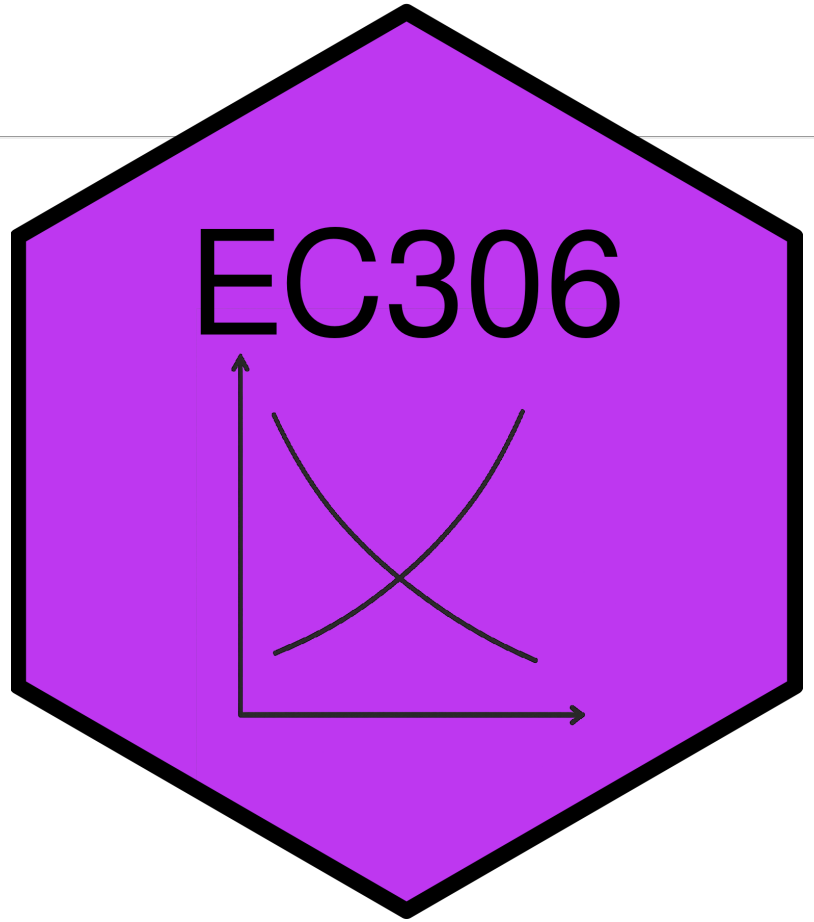
Chapter 6: Labour Supply and Early Career Decisions — In-Class Questions

EC306- Wages and Employment

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BFGLSS Chapter 6 Problem 2

The evaluation of the labour supply response to a tax cut can be quite different in a dynamic setting from what it is in a static setting. Discuss the relative impact of a permanent versus transitory tax cut on labour supply, and compare the analysis to the static model.

BFGLSS Chapter 6 Problem 3

Consider the two-period dynamic labour supply model discussed in this chapter. What, if anything, happens to current labour supply if the interest rate rises from 2 percent to 10 percent?

MC1

Which of the following statements concerning subsidies for child care expenses is true?

a) They change the slope of the budget line.

b) They reduce the fixed costs of working.

c) They discourage labour force participation.

d) They tend to increase the reservation wage of working.

e) They cause a strong substitution effect toward more working activity.